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THANKS FOR NOTHING

Although it may seem fairly obvious that receiving praise and recognition from one's company is a motivating experience, it is sad that many companies are failing miserably when it comes to saying thanks to their employees. According to a recent report by BlessingWhite Inc., 24 percent of Indian workers are highly disengaged, meaning that they couldn't care less about their organization. Employee recognition programs, which became more popular as the world economy shifted from industrial to knowledge based, can be an effective way to motivate employees and make them feel valued. In many cases, however, recognition programs are doing "more harm than good," according to Curt Coffman, global practice leader at Gallup.

Consider Ko, a 50-year-old former employee of a dot-com in California. Her company proudly instituted a rewards program designed to motivate employees. What were the rewards for a job well done? Employees would receive a badge that read "U Done Good" and, each year, would receive a T-shirt as a means of annual recognition. Once an employee received 10 "U Done Good" badges, he or she could trade them in for something bigger and better—a paperweight. Ko states that she would have preferred a raise. "It was patronizing. There wasn't any deep thought involved in any of this." To make matters worse, she says, the badges were handed out arbitrarily and were not tied to performance. And what about those T-shirts? Ko states that the company instilled a strict dress code, so employees couldn't even wear the shirts if they wanted to do so. Needless to say, the employee recognition program seemed like an empty gesture rather than a motivator.

Even programs that provide employees with more expensive rewards can backfire, especially if the rewards

are given insincerely. Employees may find more value in a sincere pat on the back than in gifts from management that either are meaningless or aren't conveyed with respect or sincerity. However, sincere pats on the back may be hard to come by. A Gallup poll found that 61 percent of employees stated that they hadn't received a sincere thank-you from management in the past year. Findings such as these are troubling, as verbal rewards are not only inexpensive for companies to hand out but also quick and easy to distribute. Of course, verbal rewards do need to be paired sometimes with tangible benefits that employees value—after all, money talks. In addition, when praising employees for a job well done, managers need to ensure that the praise is given in conjunction with the specific accomplishment. In this way, employees may not only feel valued by their organization but will also know what actions to take to be rewarded in the future.

Questions

1. If praising employees for doing a good job seems to be a fairly easy and obvious motivational tool, why do you think companies and managers don't often do it?
2. As a manager, what steps would you take to motivate your employees after observing them perform well?
3. Are there any downsides to giving employees too much verbal praise? What might these downsides be, and as a manager how could you alleviate them?
4. As a manager, how would you ensure that recognition given to employees is distributed fairly and justly?

Source: Based on J. Sandberg, "Been Here 25 Years and All I Got Was This Lousy T-Shirt," *Wall Street Journal* (January 28, 2004), p. B1; and Wendy Fencel, "Align Your Hamsters and Honeymooners," BlessingWhite Inc.